

Preliminary Advice Note

Client: Shikari Inc.

Matter: Ludens Inc. – Claims for breach of confidence and GDPR obligations following cyber incident

Forward

- State Purpose: preliminary advice following a cyber incident at Shikari's EU-based data center.
- High-level facts:
 1. A data breach occurred.
 2. Theft from the server hosting Luden's data.
 3. Types of data stored: Commercial Know-how, Technical Know-How, Health Data.
 4. Luden's claims: breach of confidence + GDPR/data protection claim.

Executive summary

- Shikari faces two claims:
 1. Breach of confidence (trade secrets).
 2. GDPR liability (failure to protect health data).
- Summary of arguments:
 - Breach of confidence: Ludens must prove secrecy + safeguards + misuse; patents/public data not confidential; lack of safeguards weakens claim.
 - GDPR claim: depends on whether Health Data anonymized or pseudonymized; can point to Rating 4 certification as appropriate measures.
- Next steps: contracts, data status, technical evidence.

Defensive strategy

1. Breach of confidence claim
 - a. Key definitions
 - i. Trade secrets – Per EU Directive 2016/943, information is protected if:
 - (1) it is a secret. (b) has commercial value because it is a secret, and
 - (c) has been subject to reasonable steps to keep it a secret.
 - ii. Confidential information – information not in the public domain and shared subject to an obligation of confidence.
- Grounds: Ludens claims its Commercial/Technical Know-How are confidential trade secrets and that Shikari's breach caused harm.

- Defensive arguments:
 - Under EU Trade Secrets Directive, secrecy reasonable measures must be proven.
 - Patent files are published after filing; Ludens must show remaining confidential elements.
 - Lack of security measures by Ludens weakens the claim.
 - Must provide actual misuse or competitive harm, not just exposure.
 - Patent publication
 - Adequacy of safeguards
 - Causation
 - Contractual allocation
- Next Steps:
 - Review the colocation agreement and any confidentiality clauses.
 - Request evidence of Ludens' own safeguards.
 - Request evidence of actual misuse or loss suffered.

2. Data Protection Claim

Ludens argues that patient health data was compromised and that Shikari failed to comply with GDPR Article 5(1)(f), which requires personal data to be processed with appropriate security.

a. Key definitions

- i. Personal Data (Art 4(1) GDPR): Information relating to an identified or identifiable natural person
- ii. Anonymized Data: Data stripped of identifiers irreversibly, no longer personal data.
- iii. Pseudonymized Data: Data where identifiers are replaced but re-identification is possible, still personal data
- iv. Controller (Art. 4(7)): Determines purpose and means of processing.
- v. Processor (Art. 4(8)): Processes personal data on behalf of the controller.

- Grounds: Ludens alleges breach of Article 5(1)(f) GDPR by failing to protect Health Data

Defensive arguments:

- If Health Data was anonymized, GDPR does not apply.
- If pseudonymized, Ludens is controller and Shikari is processor; controllers have primary duties.

- Shikari's Rating 4 certification demonstrates "appropriate" measures under GDPR.
- Contractual terms may limit liability or shift responsibility.
- Anonymized vs. Personal Data: If health data was anonymized and aggregated, it is not personal data and GDPR does not apply. Ludens must prove it was only pseudonymized.
- Controller/Processor Allocation: Ludens is the controller (deciding to see anonymized datasets). Shikari is the processor (hosting on instruction). Controllers bear primary obligations under Articles 5 and 24; processors have narrower obligations under Article 28.
- Appropriate Safeguards: Shikari operates a Rating 4 facility, guaranteeing 99.995% uptime and holding top certifications. Industry standards (e.g., ISO 27001) evidence compliance with the Article 5(1)(f) requirement for: "appropriate technical and organizational measures." GDPR imposes reasonableness, not absolute security.
- Attribution of failures: If Ludens did not require stricter safeguards in the Data Processing Agreement, responsibility reverts to them. Article 28 requires controllers to provide processors with instructions.
- Next Steps:
 - Obtain the Data Processing Agreement.
 - Confirm the anonymization status of the Health Data.
 - Gather technical documentation of securing measures at the time.
 - Review logs/forensics reports to understand breach scope.
 - Check indemnity and limitation clauses in the contract.

Legal Enforcement and Risk

- Breach of Confidence: Damages require proof of misuse and economic loss. Without evidence of competitors exploiting data, Ludens' claim may be weak.
- GDPR: Under Article 83, fines can reach €10/2% turnover for breaches of processor obligations, but liability primarily targets controllers. Ludens faces greater regulatory exposure than Shikari.
- Reputational Risk: While fines are limited, reputational damage could arise if Shikari is publicly linked to the breach. Transparency and cooperation with Ludens and regulators may mitigate this.

Information Still Required

To fully access Shikari's position, the following information and documents should be obtained:

- The colocation agreement with Ludens, including any confidentiality, limitation of liability, or indemnity clauses.
- Any data processing agreement (DPA) setting our Shikari's role and obligations under GDPR.
- Technical documentation showing what security measures were in place at the time of the breach (firewalls, access controls, intrusion detection, encryption policies).
- Logs and forensic reports clarifying how the breach occurred and whether data was exfiltrated.
- Clarification of whether health data was fully anonymized, pseudonymized, or identifiable.
- Confirmation of whether Ludens itself implemented additional safeguards (e.g. encrypted uploads) or relied entirely on Shikari.

Annex Key Legal References

Trade Secrets/Confidentiality

- Directive (EU) 2016/943, Art. 2: defines trade secret as information that is (a) secret, (b) has commercial value due to secrecy, and (c) is subject to reasonable steps to maintain secrecy.
- Patent filings: published following submission to patent offices; therefore, not confidential once public.

GDPR – Key Definitions (Art. 4)

- Art. 4(1): *Personal data* = any information relating to an identified or identifiable natural person.
- Art. 4(7): *Controller* = natural/legal person determining purposes and means of processing.
- Art. 4(8): *Processor* = natural/legal person processing personal data on behalf of the controller.

GDPR – Substantive Obligations

- Art. 5(1)(f): controllers must take appropriate technical and organizational measures against unauthorized/unlawful processing and accidental loss/destruction/damage.
- Art. 24: responsibility of controllers for compliance.
- Art. 28: obligations of processors to act on controller's documented instructions.

GDPR – Enforcement

- Art. 83(4): fines up to €10 million or 2% global turnover for breaches of processor obligations.
- Art. 83(5): fines up to €20 million or 4% global turnover for serious controller breaches.
- Recital 85: data breaches may result in identity theft, fraud, financial loss, reputational harm.

Closing

- This is a preliminary advice note only.
- Recommend preserving evidence, requesting all agreements, and gathering technical and forensic documentation immediately.
- Arguments can be refined once all the facts are confirmed.